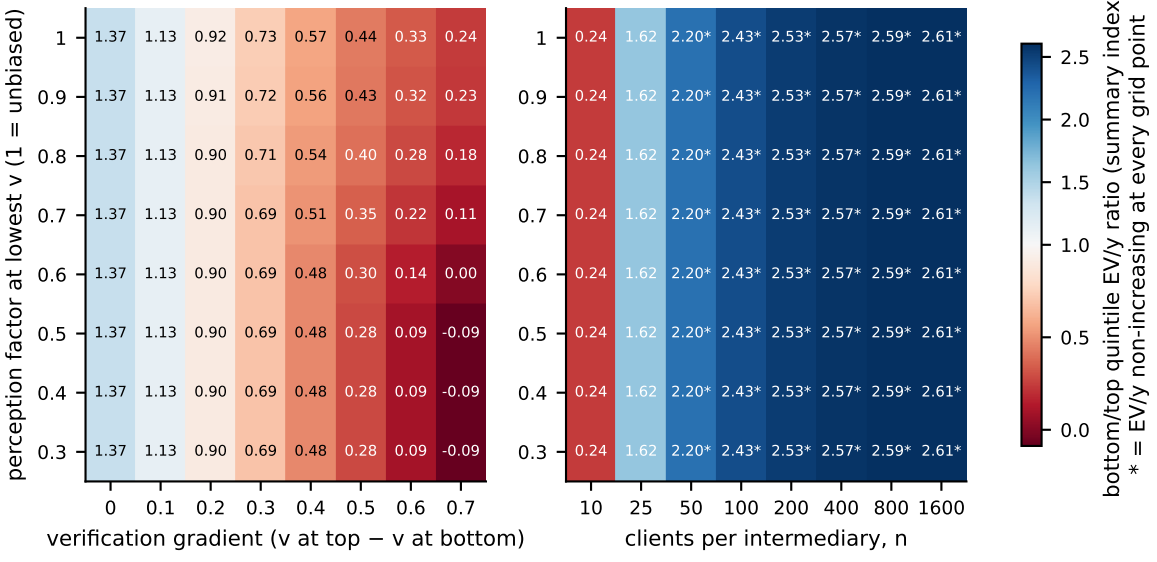
(a) No intermediary: steeper verification gradient and stronger bias → regressive
(b) Default intermediary: enough clients per intermediary restores progressivity
perception factor at lowest v (1 = unbiased)
1 1.37 1.13 0.92 0.73 0.57 0.44 0.33 0.24
0.9 1.37 1.13 0.91 0.72 0.56 0.43 0.32 0.23
0.8 1.37 1.13 0.90 0.71 0.54 0.40 0.28 0.18
0.7 1.37 1.13 0.90 0.69 0.51 0.35 0.22 0.11
0.6 1.37 1.13 0.90 0.69 0.48 0.30 0.14 0.00
0.5 1.37 1.13 0.90 0.69 0.48 0.28 0.09 -0.09
0.4 1.37 1.13 0.90 0.69 0.48 0.28 0.09 -0.09
0.3 1.37 1.13 0.90 0.69 0.48 0.28 0.09 -0.09
0 0.1 0.2 0.3 0.4 0.5 0.6 0.7
verification gradient (v at top − v at bottom)
1 0.24 1.62 2.20* 2.43* 2.53* 2.57* 2.59* 2.61*
0.9 0.24 1.62 2.20* 2.43* 2.53* 2.57* 2.59* 2.61*
0.8 0.24 1.62 2.20* 2.43* 2.53* 2.57* 2.59* 2.61*
0.7 0.24 1.62 2.20* 2.43* 2.53* 2.57* 2.59* 2.61*
0.6 0.24 1.62 2.20* 2.43* 2.53* 2.57* 2.59* 2.61*
0.5 0.24 1.62 2.20* 2.43* 2.53* 2.57* 2.59* 2.61*
0.4 0.24 1.62 2.20* 2.43* 2.53* 2.57* 2.59* 2.61*
0.3 0.24 1.62 2.20* 2.43* 2.53* 2.57* 2.59* 2.61*
10 25 50 100 200 400 800 1600
clients per intermediary, n
bottom/top quintile EV/y ratio (summary index)
* = EV/y non-increasing at every grid point
2.5
2.0
1.5
1.0
0.5
0.0